2.6 Disadvantages of Internal Control



An audit control system can give the following limitations or disadvantages:

1. **Organizational Structure:** Deficiencies in organizational structure make internal control ineffective.
2. **Size of the Organization:** Small organizations have very low levels of internal control, which are almost negligible due to more interference by owners and management.
3. **Unusual Transactions:** The internal control procedures normally fail to keep a check on unusual transactions.
4. **Costly:** The implementation of internal control procedures and processes involves incurring costs in terms of time, effort and resources.
5. **Abuse of Power:** Members at the top-level management may override or interfere with control.
6. **Collusion of two or more People:** It may lead to internal controls being over- ridden.
7. **Obsolescence:** Control system may become redundant with passage of time if not updated with change in the size and nature of business.
8. **Human Error:** Internal control fails as there are posibility of human errors.
9. **Frequent follow-up measures:** Follow-up procedures need to be frequent to ensure its effectiveness, which is extremely time-consuming.

2.7 Principles of Good Internal Control System



An effective or good system of internal control should have the following principles: -

1. **Well-designed Accounting System:** Internal control should provide for a well designed accounting system. The financial and accounting activities must be separated. For example, person who

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